ACCT102 Management Accounting

Week 9

Balanced scorecard

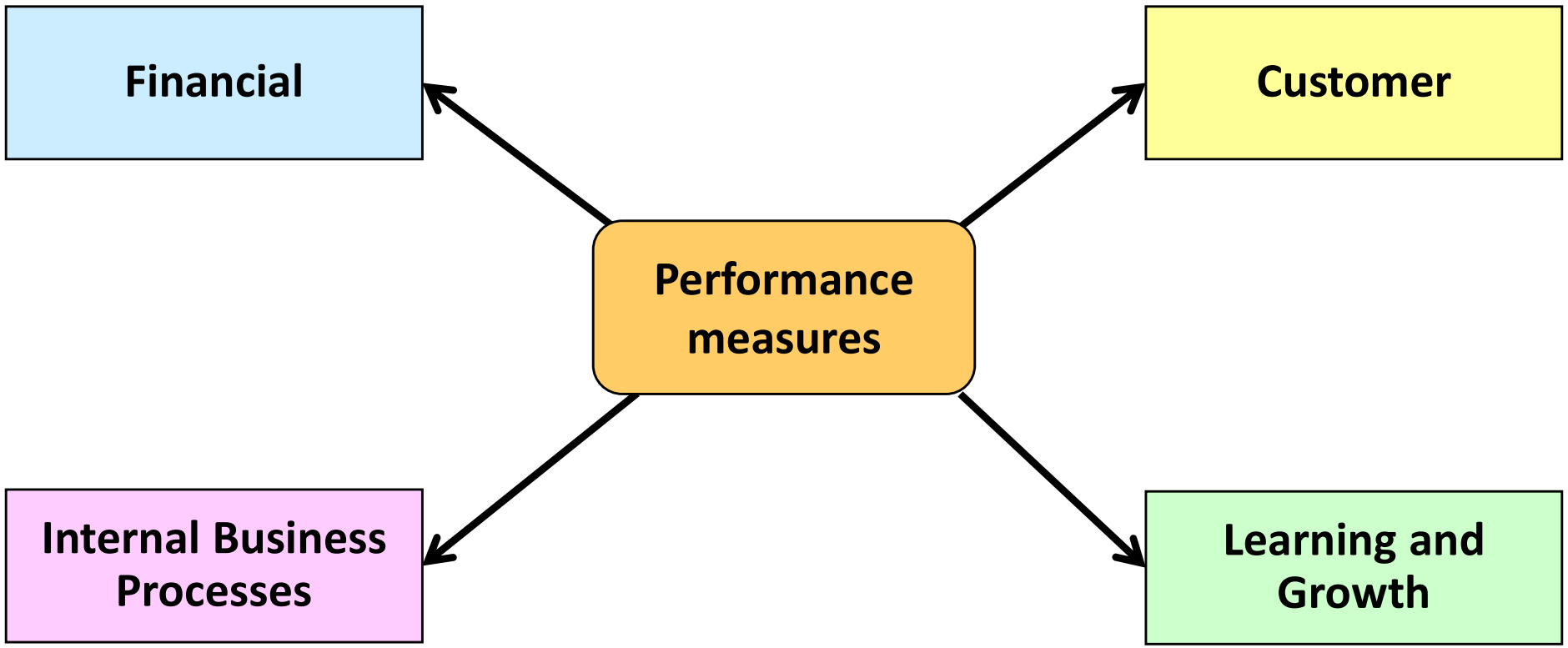
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Learning Objective

Understand how to construct and use a balanced scorecard.

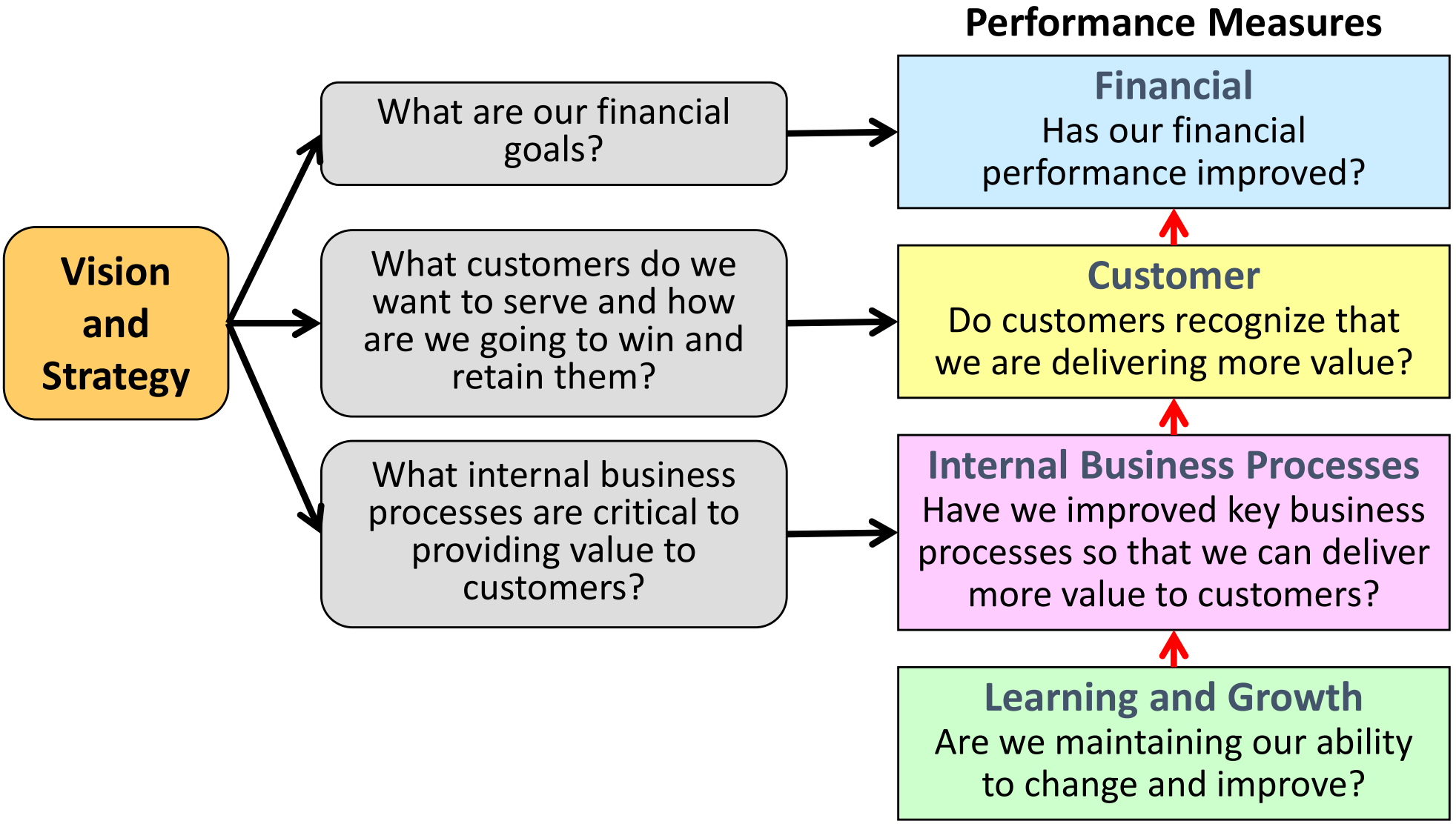
The Balanced Scorecard

Integrated set of performance measures derived from a company's strategy



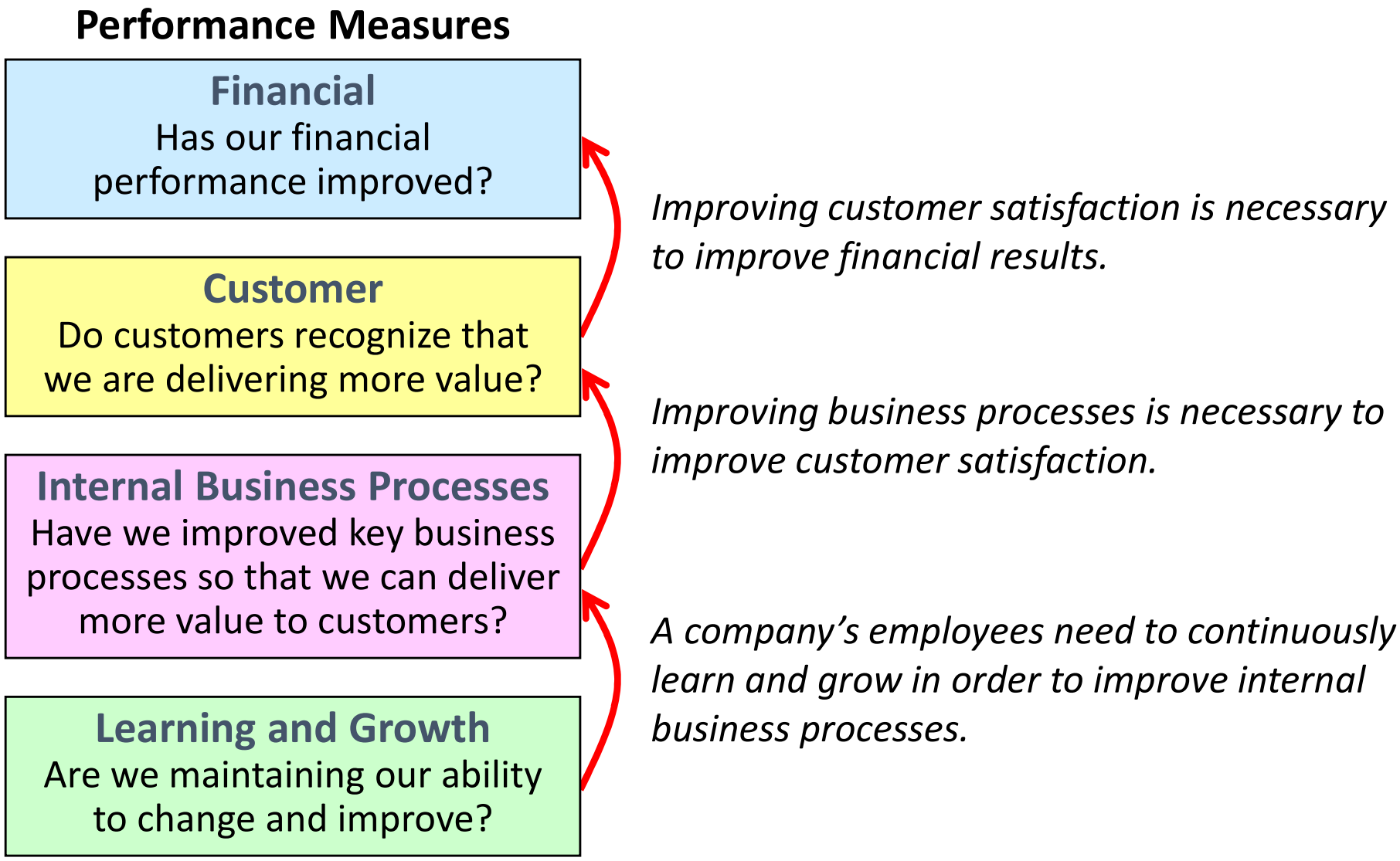
From Strategy to Performance Measures

Management translates its strategy into performance measures that employees understand and influence.



From Strategy to Performance Measures

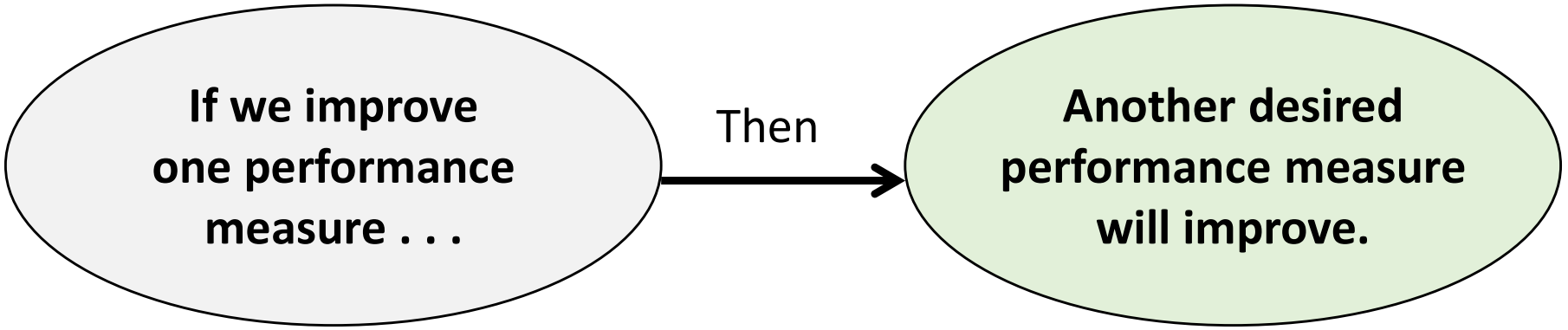
The four categories of a balanced scorecard are interrelated to one another.



Cause-and-effect of Performance Measures

A balanced scorecard should have measures that are linked together on a cause-and-effect basis.

The balanced scorecard lays out concrete actions to attain desired outcomes.



If the performance measure is improved, but the outcome is not as desired, management may have to rethink its understanding.

Balanced Scorecard: Non-financial Measures

The balanced scorecard relies on non-financial measures in addition to financial measures for two reasons:

1. Financial measures are lag indicators that summarize the results of past actions. Non-financial measures are leading indicators of future financial performance.
2. Top managers are ordinarily responsible for financial performance measures, not lower level managers. Non-financial measures are more likely to be understood and controlled by lower level managers.

Balanced Scorecard: Financial Measures

- The balanced scorecard framework rejects the notion that improving process-oriented measures automatically leads to financial success.
- Including a financial perspective serves the purpose of holding organizations accountable for translating improvements in nonfinancial performance to “bottom-line” results.
- If favorable trends in a company's learning and growth, internal business processes, and customer measures do no translate to financial results, the balanced scorecard is designed to force the organization to re-examine its strategy for differentiating itself from competitors.

Performance Measures

- Must not be ambiguous; must be economically measurable
- Managers must be confident that the performance measures are reliable, sensible, understood by those who are being evaluated, and not easily manipulated.
- Incentive compensation should be linked to balanced scorecard performance measures
- Number of KPIs should be kept at a controllable number.

Wooclap 9.1

How many categories of performance measures are there?

A. 2

B. 3

C. 4

D. 5

Wooclap 9.2

Performance measures should be centered around being financial-based?

A. TRUE

B. FALSE

Wooclap 9.3

Challenge Pte Ltd is looking to measure and increase the **new customer referrals to their business.**

Which category would this performance measure be under?

A. Financial

B. Customer

C. Internal business process

D. Learning and growth

Wooclap 9.4

Challenge Pte Ltd is looking to measure and increase the **training hours per employee**.

Which category would this performance measure be under?

A. Financial

B. Customer

C. Internal business process

D. Learning and growth

Wooclap 9.5

Challenge Pte Ltd is looking to measure and shorten the **manufacturing cycle time**

Which category would this performance measure be under?

A. Financial

B. Customer

C. Internal business process

D. Learning and growth

Wooclap 9.6

Once a company have shown improvement in the performance measures in all 3 categories: Training and growth, Internal business process, Customer, the company should definitely observe and improvement in their Financial measures.

A. TRUE

B. FALSE

Learning and Growth Performance Measures – Examples

Recruiting:

- Percent of "outstanding" interview candidates that accepted our job offer (+)
- Recruiting expenditures per hired employee (–)

Skills development:

- Percent of employees that strongly agree with the statement "I am consistently given the resources that I need to do my job." (+)
- Average mentorship hours per employee (+)
- Average training hours per employee (+)

Compensation and advancement:

- Percent of leadership positions filled with internal candidates (+)
- Percent of workforce promoted within the last three years (+)
- Average pay raise percentage per employee (+)

Wellness/Safety:

- Absenteeism rate (–)
- Average number of workplace accidents per employee (–)

Job satisfaction:

- Percent of employees that strongly agree with the statement "this is a great place to work." (+)
- Percent of employees that strongly agree with the statement "My contribution to the company is recognized and respected by my co-workers." (+)
- Number of process improvement suggestions per employee (+)

Retention:

- Employee turnover percentage (–)
- Average years of tenure per employee (+)

Internal Business Process Measures – Examples

Innovation:

- Number of new products designed (+)
- Number of patents approved (+)
- Percentage of previously designed parts used in new products (+)

Product and service quality:

- Number of warranty claims (–)
- Defect-free units as a percentage of completed units (+)
- Percent of customer complaints settled on first contact (+)

Agility:

- Number of modular product designs (+)
- Percent of suppliers with long-term contracts (+)
- Average batch size (–)

Cost:

- Cost of quality (–)
- Non-value-added activity costs (–)
- Lost sales due to out-of-stock merchandise (–)

Time:

- Delivery cycle time (–)
- Throughput (Manufacturing cycle) time (–)
- Manufacturing cycle efficiency (MCE) (+)

Lean Resource Management:

- Overall equipment effectiveness (OEE) (+)
- WIP Inventory as a percent of sales (+)
- Workstation cleanliness score (+)

Customer Measures – Examples

Customer satisfaction:

- Percent of customers that strongly agree with the statement "I would readily recommend your company to someone else" (+)
- Number of customer referrals (+)

Customer loyalty:

- Percent of a customer's overall spending committed to our company (also called "share of wallet") (+)
- Number of collaborative customer-driven product innovations (+)

Customer acquisition/retention:

- Market share percentage (+)
- Customer defection rate (–)
- Average customer acquisition cost (–)
- Percent of customer leads that generate a sale (+)

Customer service:

- Percent of customers that strongly agree with the statement "my order was delivered on time" (+)
- Percent of customers that strongly agree with the statement "my problem was resolved quickly" (+)
- Percent of customers that strongly agree with the statement "your website was easy to use" (+)
- Percent of customers that strongly agree with the statement "Your employees treated me courteously" (+)

Customer lifetime value:

- Average revenue per order (+)
- Average gross margin per order (+)
- Average time between purchases (–)

Customer value proposition:

- Customer perception of our product leadership (+)
- Customer perception of our operational excellence (+)
- Customer perception of our customer intimacy (+)

Financial Measures – Examples

Sales:

- Sales from new customers (+)
- Sales from products less than three years old (+)
- Patent protected sales (+)

Profits:

- Contribution margin (+)
- Net operating income(+)
- Residual income (+)

Profitability ratios:

- Gross margin percentage (+)
- Net profit margin percentage (+)
- Return on assets (ROA) (+)
- Return on equity (ROE) (+)

Trend performance:

- Sales growth rate (+)
- Contribution margin growth rate (+)
- Net operating income growth rate (+)
- Net cash flow from operating activities growth rate (+)

Cash flows:

- Net cash flow from operating activities (+)
- Net cash flow from operating activities ÷ average operating assets (+)
- Net cash flow from operating activities ÷ sales (+)

Market performance:

- Stock price (+)
- Earnings-per-share (EPS) (+)
- Price-earnings ratio (+)

Sustainability and Balanced Scorecard

- The balanced scorecard provides a useful framework for organizing and managing sustainability performance measures that companies often include in their sustainability reports.

Learning and Growth:	*Internal Business Processes:*
• Number of occupational injuries/accidents (–)	• Average water consumed per unit produced (–)
• Average compensation for female employees ÷ average compensation for male employees (+)	• Percent of raw material inputs that have been recycled (+)
• Number of job applicants from under-represented groups (+)	• Average carbon emissions per unit produced (–)
• Average community service hours per employee (+)	• Pounds of waste produced (–)
Customer:	*Financial:*
• Percent of customers that strongly agree with the statement "Your company cares about the communities where it operates" (+)	• Percent of revenue from eco-conscious products (+)
• Percent of customers that strongly agree with the statement "Your company has a superior commitment to product safety" (+)	• Average fuel cost per sales dollar (–)
• Percent of customers that strongly agree with the statement "Your company is committed to environmental stewardship" (+)	• Total workers' compensation costs
• Percent of customers that strongly agree with the statement "Your company provides me with the information that I need to assess its social and environmental performance" (+)	• Capital expenditures on "green" products and processes

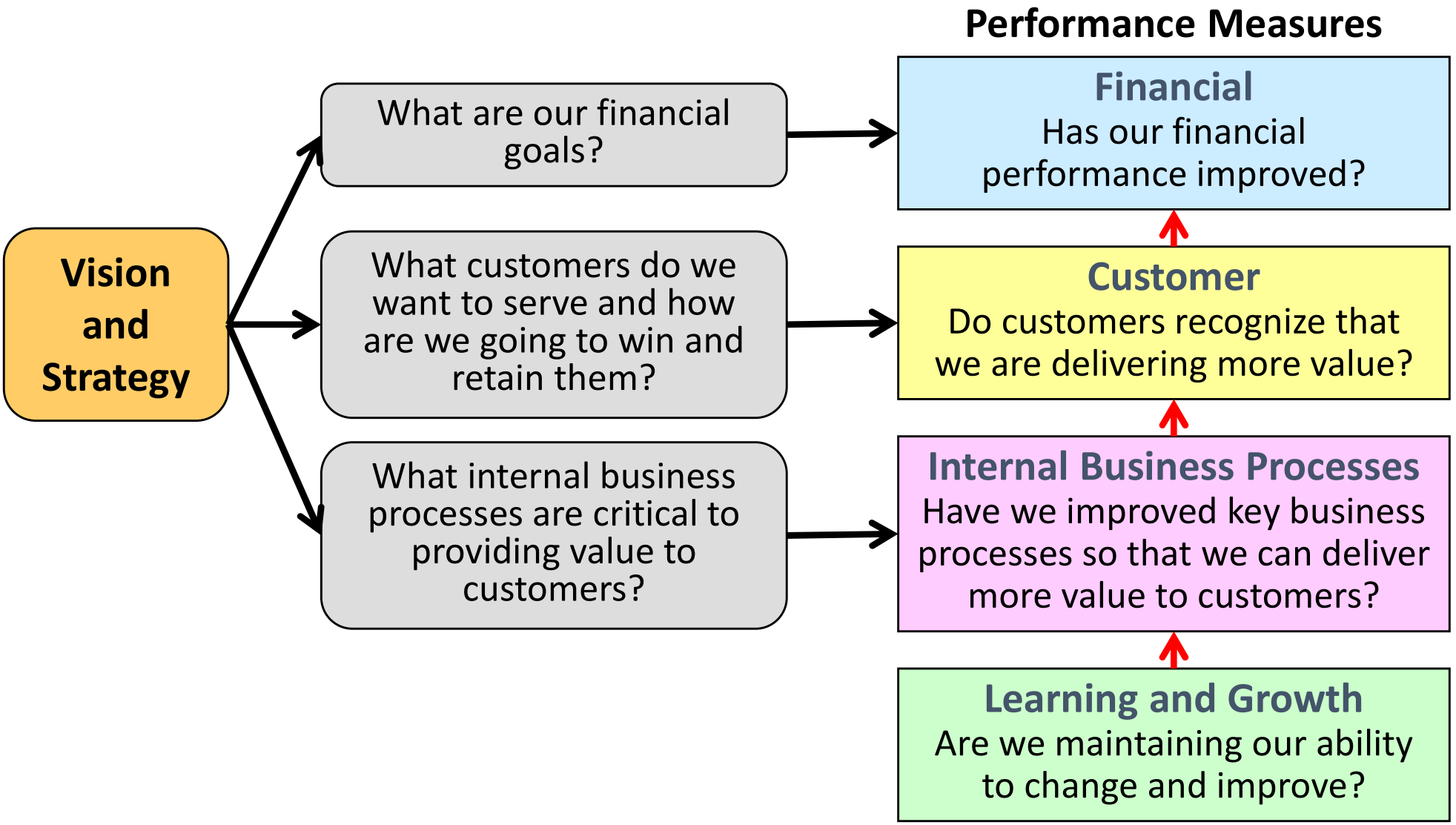
The Balanced Scorecard - Example



Leopard is a private luxury car company that provides customers with one of kind, state of the art vehicles.

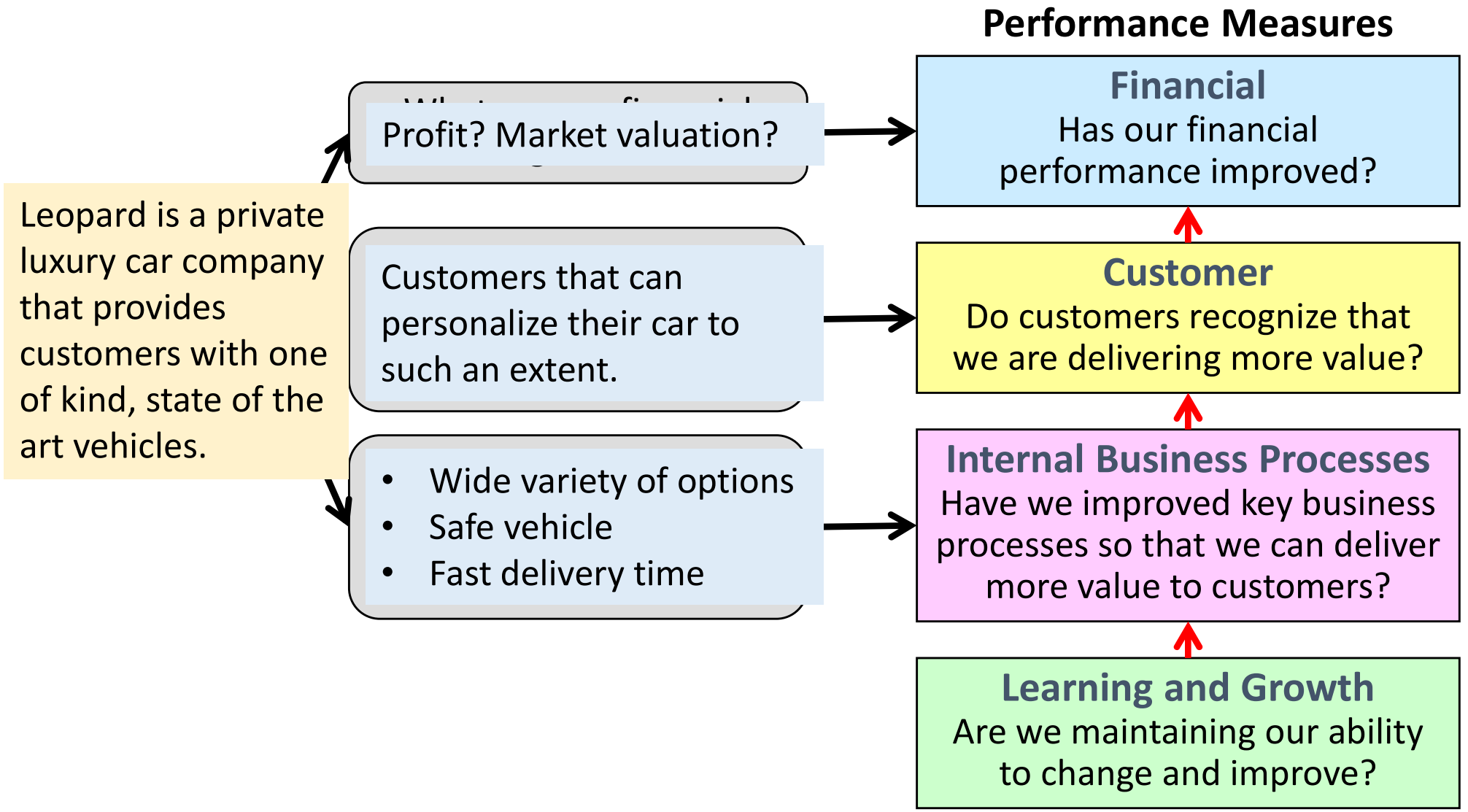
- Premium quality materials
- Reliable and smooth ride
- Extremely wide range of options
- Fast delivery time

The Balanced Scorecard - Example

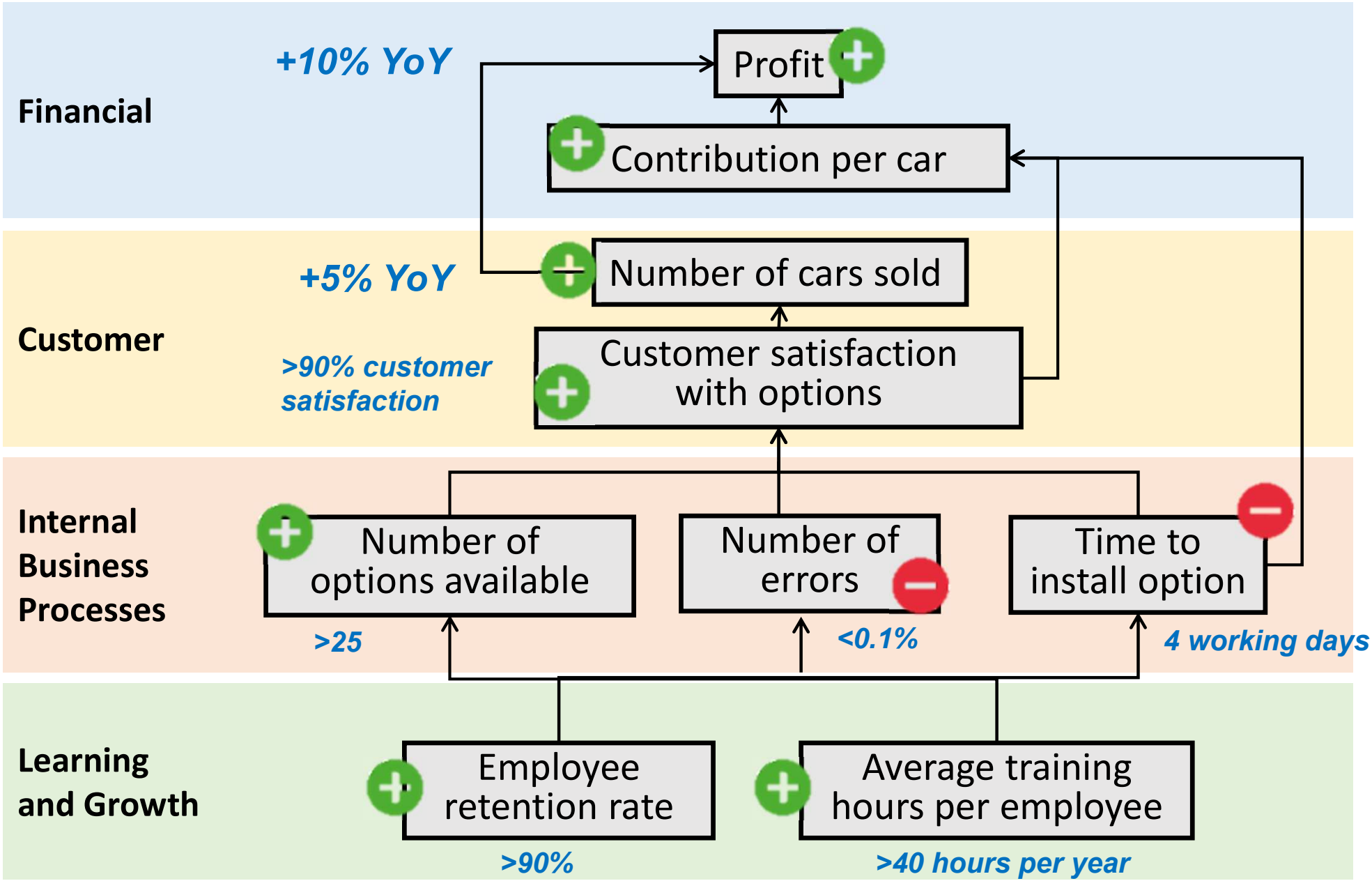


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The Balanced Scorecard - Example



The Balanced Scorecard - Example



Limitations of Balanced Scorecard

- In essence, the balanced scorecard lays out a theory of how the company can take concrete actions to attain its desired outcomes (financial, in this case)
- Leopard's strategy seems plausible, but it should be regarded as only a theory.
- One of the advantages of the balanced scorecard is that it continually tests the theories underlying management's strategy.

End of topic